

Internal Memo: Q4 SaaS Metrics Review

This memo summarizes key SaaS metrics for Q4. Annual Recurring Revenue (ARR) reached 17.8 billion on an annualized basis. Monthly Recurring Revenue (MRR) grew 4 percent month over month in December. Net Revenue Retention (NRR) was 112 percent, and Gross Revenue Retention was 94 percent.

Key SaaS Metrics

Metric	Q3	Q4	Target
ARR (USD B)	16.9	17.8	17.5
NRR (%)	109	112	110
GRR (%)	93	94	92
CAC Payback (months)	14	13	12
Magic Number	0.9	1.1	1.0

Commission accruals are booked monthly based on closed-won bookings and are amortized over the expected customer life in accordance with ASC 340-40. The Magic Number improving above 1.0 indicates efficient go-to-market spend.